

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I STATEMENT OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2016	Bank		Group Consolidated		Bank		Group Consolidated	
	30.09.2015 Unaudited (Ksh'000)	31.12.2015 Audited (Ksh'000)	31.03.2016 UnAudited (Ksh'000)	30.06.2016 UnAudited (Ksh'000)	30.09.2016 UnAudited (Ksh'000)	30.09.2015 UnAudited (Ksh'000)	31.12.2015 Audited (Ksh'000)	30.09.2016 UnAudited (Ksh'000)
A. ASSETS								
1 Cash balances (both local and foreign)	266,243	322,997	300,007	313,158	396,000	266,243	322,997	396,170
2 Balances due from Central Bank of Kenya	2,995,336	4,126,559	3,319,657	2,907,537	2,767,303	2,995,336	4,126,559	2,767,303
3 Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
4 Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5 Investment Securities:								
a) Held to Maturity:	1,097,030	1,571,403	3,374,489	3,196,153	5,046,562	1,097,030	1,571,403	5,046,562
a. Kenya Government securities	1,097,030	1,571,403	3,374,489	3,196,153	5,046,562	1,097,030	1,571,403	5,046,562
b. Other securities	-	-	-	-	-	-	-	-
b) Available for sale:	275,361	579,578	792,947	518,716	528,745	275,361	579,578	528,745
a. Kenya Government securities	275,361	579,578	792,947	518,716	528,745	275,361	579,578	528,745
b. Other securities	-	-	-	-	-	-	-	-
6 Deposits and balances due from local banking institutions	4,898,012	4,909,600	3,499,314	2,204,811	2,171,214	4,898,012	4,909,600	2,171,214
7 Deposits and balances due from banking institutions abroad	137,843	608,070	319,858	350,658	349,159	137,843	608,070	349,159
8 Tax recoverable	72,230	-	-	144,594	249,091	93,810	13,421	298,026
9 Loans and advances to customers (net)	51,706,716	53,021,022	53,446,774	53,465,918	53,913,064	51,706,716	53,021,022	53,913,064
10 Balances due from banking institutions in the group	-	-	-	-	-	-	-	-
11 Investments in associates	-	-	-	-	-	-	-	-
12 Investments in subsidiary companies	-	-	-	-	-	-	-	-
13 Investment in Joint ventures	201,017	255,561	255,561	255,561	264,371	201,017	1,080,213	1,270,882
14 Investment properties	-	-	-	-	-	-	-	-
15 Property and equipment	1,335,282	1,339,222	1,148,448	1,367,912	1,430,043	1,337,775	1,341,930	1,433,505
16 Prepaid operating lease rentals	39,514	39,398	39,360	39,167	39,052	45,555	44,853	44,853
17 Intangible assets	765,912	818,733	1,073,435	1,142,651	1,260,869	766,318	819,147	1,261,373
18 Deferred tax asset	445,431	584,879	564,872	574,740	579,959	449,712	576,351	571,394
19 Retirement benefit asset	-	-	-	-	-	-	-	-
20 Other assets	671,677	631,632	987,510	1,413,980	699,745	969,894	1,324,543	1,597,853
21 TOTAL ASSETS	64,907,602	68,808,654	69,122,232	67,895,556	69,695,177	66,503,799	71,659,434	73,464,830
B. LIABILITIES								
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23 Customer deposits	38,371,032	41,887,526	41,059,849	39,997,664	41,751,269	37,567,877	41,665,085	41,612,407
24 Deposits and balances due to local banking institutions	-	-	-	563,541	773,277	-	-	773,277
25 Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-
26 Other money market deposits	-	-	-	-	-	-	-	-
27 Borrowed funds	17,267,388	17,465,953	17,447,751	16,759,800	16,628,424	17,837,097	18,540,375	18,507,591
28 Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29 Tax payable	-	10,722	143,719	-	-	-	110,068	(22)
30 Dividends payable	-	-	-	-	-	89,737	63,949	67,698
31 Deferred tax liability	-	-	-	-	-	-	43	43
32 Retirement benefit liability	-	-	-	-	-	-	-	-
33 Other liabilities	522,788	354,499	1,026,125	1,188,196	907,918	712,503	657,273	1,281,869
34 TOTAL LIABILITIES	56,161,208	59,718,700	59,677,444	58,509,201	60,060,888	56,207,215	61,036,793	62,242,863
C. SHAREHOLDERS' FUNDS								
35 Paid up /Assigned capital	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000	1,743,983	1,744,483	1,744,483
36 Share premium/(discount)	3,513,662	3,513,662	3,513,662	3,513,662	3,513,662	4,356,257	4,339,712	4,339,712
37 Revaluation reserves	-	-	-	-	-	701,463	701,463	701,463
38 Retained earnings/Accumulated losses	(41,678)	165,918	60,176	357,601	695,343	3,921,935	3,225,082	4,036,281
39 Statutory loan loss reserves	223,659	393,046	506,940	521,862	420,132	223,659	393,046	420,132
40 Other Reserves	-	(33,422)	13,260	(57,520)	(45,598)	-	(58,678)	(70,854)
41 Proposed dividends	-	-	300,000	-	-	-	226,783	-
42 Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43 TOTAL SHAREHOLDERS' FUNDS	8,746,393	9,089,954	9,444,788	9,386,356	9,634,289	10,296,584	10,622,641	11,221,967
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	64,907,602	68,808,654	69,122,232	67,895,556	69,695,177	66,503,799	71,659,434	73,464,830
II STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 SEPTEMBER 2016	30.09.2015 Unaudited (Ksh'000)	31.12.2015 Audited (Ksh'000)	31.03.2016 UnAudited (Ksh'000)	30.06.2016 UnAudited (Ksh'000)	30.09.2016 UnAudited (Ksh'000)	30.09.2015 Unaudited (Ksh'000)	31.12.2015 Audited (Ksh'000)	30.09.2016 UnAudited (Ksh'000)
1 INTEREST INCOME								
1.1 Loans and advances	5,217,351	7,218,269	2,071,150	4,110,223	6,122,883	5,217,351	7,218,269	6,123,027
1.2 Government securities	58,877	122,955	99,756	219,788	357,209	58,877	122,955	357,209
1.3 Deposits and placements with banking institutions	557,906	758,890	129,946	167,046	208,141	557,906	756,912	208,141
1.4 Other Interest Income	-	-	-	-	-	-	-	-
1.5 Total interest income	5,834,135	8,100,114	2,300,852	4,497,057	6,688,233	5,834,135	8,098,136	6,688,377
2 INTEREST EXPENSES								
2.1 Customer deposits	1,924,258	2,891,701	891,859	1,582,155	2,296,968	1,900,811	2,857,720	2,294,503
2.2 Deposits and placement from banking institutions	-	-	-	-	10,681	-	-	10,681
2.3 Other interest expenses	1,214,812	1,626,833	408,883	831,758	1,255,534	1,214,812	1,628,462	1,278,012
2.4 Total interest expenses	3,139,071	4,518,534	1,300,741	2,413,913	3,563,183	3,115,624	4,486,182	3,583,196
3 NET INTEREST INCOME/(LOSS)	2,695,064	3,581,580	1,000,111	2,083,144	3,125,050	2,718,511	3,611,954	3,105,181
4 OTHER OPERATING INCOME								
4.1 Fees and commissions on loans and advances	134,843	191,678	43,014	59,450	121,333	134,843	191,678	121,333
4.2 Other fees and commissions	68,024	106,536	36,281	62,432	89,256	68,024	151,008	136,638
4.3 Foreign exchange trading income/(Loss)	72,104	59,959	(7,863)	(2,294)	3,565	72,104	59,959	3,565
4.4 Dividend Income	-	200,000	-	-	-	-	-	-
4.5 Other income	262,475	122,388	51,797	53,237	70,206	126,899	768,444	410,174
4.6 Total Non-Interest income	537,447	680,561	123,229	172,825	284,360	401,870	1,171,089	671,710
5 TOTAL OPERATING INCOME	3,232,510	4,262,141	1,123,340	2,255,969	3,409,410	3,120,381	4,783,043	3,776,891
6 OPERATING EXPENSES								
6.1 Loan loss provision	424,130	503,771	136,895	304,998	494,806	424,130	503,771	494,806
6.2 Staff costs	746,612	1,004,192	235,282	446,890	642,671	781,531	1,098,664	843,698
6.3 Directors' emoluments	13,155	18,746	1,105	2,076	13,578	13,571	19,630	13,578
6.4 Rental charges	43,523	61,493	19,346	48,933	74,095	45,571	61,493	74,095
6.5 Depreciation charge on property and equipment	69,089	93,489	29,759	67,159	105,421	69,317	93,924	107,510
6.6 Amortisation charges	8,058	10,739	62,555	125,109	187,664	8,082	10,799	187,671
6.7 Other operating expenses	645,173	832,810	198,181	374,377	676,399	704,563	1,324,256	851,630
6.8 Total Other Operating Expenses	1,949,740	2,525,240	683,123	1,369,542	2,194,634	2,046,765	3,112,537	2,572,988
7 Profit/(loss) before tax and exceptional items	1,282,771	1,736,901	440,217	886,427	1,214,776	1,073,616	1,670,506	1,203,903
8 Exceptional items	28,468	83,012	-	-	8,811	28,468	83,012	8,811
9 Profit/(loss) after exceptional items	1,311,239	1,819,913	440,217	886,427	1,223,587	1,102,083	1,753,518	1,212,714
10 Current tax	(322,665)	(620,264)	(132,065)	(265,928)	(367,076)	(324,618)	(684,242)	(374,966)
11 Deferred tax	-	125,121	-	-	-	-	127,693	-
12 Profit/(loss) after tax and exceptional items	988,574	1,324,770	308,152	620,499	856,510	777,465	1,196,969	837,748
13 Other Comprehensive Income								
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
13.2 Fair value changes in available for sale financial assets	-	(19,190)	66,689	(13,962)	(17,395)	-	(19,190)	(17,395)
13.3 Revaluation surplus on Property, plant and equipment	-	-	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	-	5,757	(20,007)	4,189	5,218	-	5,757	5,218
14 Other Comprehensive Income for the year net of tax	-	(13,433)	46,682	(9,773)	(12,177)	-	(13,433)	(12,177)
15 Total comprehensive income for the year	988,574	1,311,337	354,834	610,726	844,333	777,465	1,183,536	825,571
Earnings per share	3.78	-	-	-	-	2.98	3.43	3.20
Dividend per share	0.65	-	-	-	-	0.65	1.30	-

III DISCLOSURES AS AT 30 SEPTEMBER 2016	Bank		Group Consolidated		30.09.2016 UnAudited (Ksh'000)			
	30.09.2015 Unaudited (Ksh'000)	31.12.2015 Audited (Ksh'000)	31.03.2016 UnAudited (Ksh'000)	30.06.2016 UnAudited (Ksh'000)		30.09.2015 Unaudited (Ksh'000)	31.12.2015 Audited (Ksh'000)	
1 Non-Performing Loans and Advances								
a) Gross non-performing loans and advances	4,071,885	4,097,356	4,523,977	5,363,759	5,547,000	4,071,885	4,097,356	5,547,000
b) Less: Interest in Suspense	535,936	610,211	622,128	761,909	851,189	535,936	610,211	851,189
c) Total non-Performing loans and advances (a-b)	3,535,949	3,487,145	3,901,849	4,601,851	4,695,810	3,535,949	3,487,145	4,695,810
d) Less: Loan loss provisions	834,144	992,862	1,176,480	1,245,580	1,252,460	834,144	992,862	1,252,460
e) Net non-performing loans and advances(c-d)	2,701,805	2,494,283	2,725,369	3,356,270	3,443,351	2,701,805	2,494,283	3,443,351
f) Discounted value of securities	2,701,805	2,494,283	2,725,369	3,356,270	3,443,351	2,701,805	2,494,283	3,443,351
g) Net Exposure(e-f)	-	-	-	-	-	-	-	-
2 Insider loans and advances								
a) Directors, shareholders and associates	681,312	735,933	716,632	639,648	541,682	681,312	735,933	541,682
b) Employees	921,895	1,002,120	1,044,560	1,074,310	1,086,842	921,895	1,002,120	1,086,842
c) Total Insider Loans and Advances	1,603,207	1,738,053	1,761,192	1,713,958	1,628,524	1,603,207	1,738,053	1,628,524
3 Off-Balance Sheet items								
a) Letters of credit, guarantees and acceptances	268,129	256,256	258,720	425,074	495,400	268,129	256,256	495,400
b) Other contingent liabilities	-	-	-	-	-	-	-	-
c) Total contingent liabilities	268,129	256,256	258,720	425,074	495,400	268,129	256,256	495,400
4 Capital Strength								
a) Core capital	7,935,564	8,094,702	7,854,891	7,928,754	8,155,193			
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000			
c) Excess/Deficiency	6,935,564	7,094,702	6,854,891	6,928,754	7,155,193			
d) Supplementary capital	1,407,450	1,453,235	1,484,727	1,376,048	1,150,715			
e) Total capital (a+d)	9,343,014	9,547,937	9,339,618	9,304,802	9,305,908			
f) Total risk weighted assets	50,285,490	52,671,912	53,763,238	54,456,051	54,749,910			
g) Core capital /Total deposit liabilities	20.68%	19.32%	19.13%	19.55%	19.18%			
h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%			
i) Excess/Deficiency	12.68%	11.32%	11.13%	11.55%	11.18%			
j) Core capital /Total risk weighted assets	15.78%	15.37%	14.62%	14.56%	14.90%			
k) Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%			
l) Excess/Deficiency (j-k)	5.28%	4.87%	4.12%	4.06%	4.40%			
m) Total capital /Total risk weighted assets	18.58%	18.13%	17.38%	17.09%	17.00%			
n) Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%			
o) Excess/Deficiency (m-n)	4.08%	3.63%	2.88%	2.59%	2.50%			
5 Liquidity								
a) Liquidity Ratio	24.23%	28.04%	26.85%	21.77%	23.84%			
b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%			
c) Excess(Deficiency) (a-b)	4.23%	8.04%	6.85%	1.77%	3.84%			